# INFORMATION REQUIRED FOR CONSIDERING THE PROPOSAL FOR CREATION OF TECHNICAL AND PROMOTIONAL CELL IN THE STATE LEEL COOPERATIVE FEDERATIONS

1. Brief Note about the Federation :

The Meghalaya State Cooperative Marketing & Consumers' Federation Ltd., popularly known as "MECOFED" was established in the year 1975-76. Prior to the State of Meghalaya attaining Statehood, it was known in the erstwhile Assam as Assam Hills Cooperative Development Corporation Ltd. Or AHCDC.

Since its inception, the role of MECOFED was to organize, promote, develop marketing storage, procurement and sale of SAPs and MFPs, supply of agricultural inputs to the farmers by way of sale of chemical fertilizers and Bone meal and also supply of chemical fertilizers to both the State and Central Governments located in the State.

Apart from the above marketing activities, MECOFED is also engaged in the sale of L.P.G. and S.K. Oil. Cement is also another consumer commodity taken up by MECOFED.

Other business activities of MECOFED are also supply of office stationery items, furnitures & fixtures, Computer peripherals, etc. to different state and Central Government offices located in the State. Supply of tyres, tubes, motor vehicle battery is also one of the business activity of MECOFED. The supply is mainly to Government Department.

2. Organisational set up and structure of the Federation alongwith pay scales of key personnel :-

(1) The State govt. deputes an IAS or Meghalaya Civil Service Cadre personnel as part time Managing Director of MECOFED.

| (2) Full time personnel | | | Pay Scale |
|---|---|---|---|
| A. 1 (one) Deputy Chief Accounts Officer | - | Rs. | 10,000.00 |
| B. 2 (two) Accounts Officers | - | Rs. | 8,750.00 |
| C. 2 (two) Deputy Managers | - | Rs. | 8,750.00 |
| D. 9 (nine) Assistant Managers | - | Rs. | 6,100.00 |
| E. 1 (one) Assistant Secretary | - | Rs. | 6,100.00 |
| F. 2 (two) Accountants | - | Rs. | 5,300.00 |

3. Membership and paid up share capital of the Federation for the last three years: -

(a) The Federation is managed by a Board of Directors which consists of not more than 15(fifteen) members including the Chairman, Vice Chairman and the Managing Director along with five other ex-officio members of the Board. The composition of the Board of Directors is as follows: -

1. Chairman
2. Vice-Chairman
3. Managing Director (ex-officio)
4. One member representing Cooperative Marketing Societies
5. One members representing Service Cooperative Societies
6. One member representing Consumers Cooperative Societies
7. One member representing other types of Cooperatives
8. Commissioner & Secretary to the Govt. of Meghalaya, Finance Department or his nominee (ex-officio)
9. Commissioner & Secretary to the Govt. of Meghalaya, Cooperation Department or his nominee (ex-officio)
10. Registrar of Cooperative Societies or his nominee (ex-officio)
11. Director of Agriculture or his nominee (ex-officio)
12. Managing Director, MCAB or his nominee (ex-offcio)
13. One representative of the individual members
14. Two representatives of the Central Govt.

(b) The paid up Share Capital for the last three years are as follows :-

| | **2003-04** | **2004-05** | **2005-06** |
|---|---|---|---|
| Paid up share capital | 1223.19 | 1306.09 | 1477.09 |

4. Business handled (Commodity-wise) for the last three years :-

The on-going business activities of the Federation consists of procurement sale of SAP's and MFP's, supply of agricultural inputs like seeds, fertilizers and bonemeal.

Apart from the above the Federation is also engaged in the sale of LPG, S.K. Oil and Portland Cement.

Other business activities includes supply of Office stationeries, furnitures and fixtures, computer peripherals etc. It also undertakes supply of Tyres, tubes and car batteries to Govt. Department.

5. Commodity-wise business projections for the next 5 years :-

Business projections for the next 5 years are as follows :- Rs. In lakhs

| **Commodity** | **2007-08** | **2008-09** | **2009-10** | **2010-11** | **2011-12** |
|---|---|---|---|---|---|
| Fertilizers | 800.00 | 850.00 | 900.00 | 950.00 | 975.00 |
| Cement | 25.00 | 30.83 | 40.00 | 40.00 | 40.00 |
| Wild Pipple | 20.00 | 30.00 | 35.00 | 35.00 | 35.00 |
| Seed Potato | 5.00 | 10.00 | 5.00 | 5.00 | 5.00 |
| Jute | 20.00 | 30.00 | 30.00 | 30.00 | 40.00 |
| Other Marketing Business | 30.00 | 50.00 | 40.00 | 40.00 | 40.00 |
| L.P.G. | 60.00 | 65.45 | 70.40 | 75.80 | 75.80 |
| Kerosene Oil | 106.00 | 112.01 | 122.03 | 126.06 | 126.06 |
| Govt. Supply Stationeries | 95.00 | 112.84 | 142.04 | 152.04 | 152.00 |
| Tyres, Tubes & Batteries | 35.00 | 41.50 | 51.58 | 55.31 | 55.00 |
| School Supplies like Ex.Books etc. | 182.00 | 205.62 | 255.51 | 274.09 | 280.09 |
| Income from Truck | 7.00 | 9.00 | 14.00 | 14.00 | 14.00 |

6. Financial results for the last three years as per prescribed format. Copies of the Balance sheets, Profit and Loss and Trading Accounts :-

Details enclosed at Annexure

7. Justification/need for creation of T&P Cell :-

Though experience workforce exists, it is the lack of professionalism that retards the organization. This being the explicit scenario, it is perhaps

noteworthy and imperative to mention that in order to make the restructuring effort worthwhile in the long run, there is a need to infuse professionals in the organization so as to provide that necessary expertise to MECOFED to manage its affairs and accelerating the endeavour of MECOFED to turn around into a profit oriented business organization.

The NCDC under the Restructure Central Sector Scheme for the development of Cooperative in the 10th Plan has launched a Scheme known as Establishment of Technical and Promotional Cells in Cooperative Federation in the under-developed and least developed State.

8. Job profile of the proposed posts :-

1. Marketing Management
2. IT Management
3. Processing and Value addition
4. Accounting Management
5. Automobile Engineer
6. Civil Engineer
7. Agriculture
8. Management Administration

9. Benefits that would accrue to the affiliated Societies after sanction of the proposed post(s) :-

The basic objective with which the Federation was established, was to provide support to Cooperative Marketing/Consumers Cooperative Societies and PACS in their business operations, coupled with technical guidance. Unfortunately, these links are missing there-by resulting in the Federation not being able to fulfill it's aim and objectives. Backward linkage with PACS and forward effective linkage with other National Federation like NAFED, TRIFED etc. has to be adopted.

With the creation of the Technical & Promotional Cell in the Federation, it is envisage that the objectives and aims of the Federation can be achieved.